CASCADIA ANALYTICS

INVESTMENT SCORECARD

# ASML

ASML Holding N.V. (NASDAQ)

As-of: 23-Oct-2026 | Latest Filing: Q3 FY26 (10-Q) | Currency: EUR (reports in EUR; price in USD)

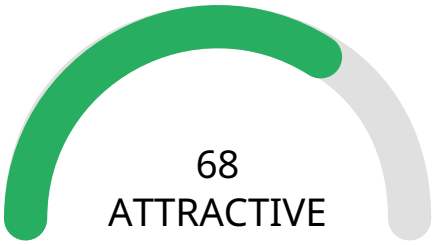
**$1,572.61**

[Mkt 23-Oct-26]

Market Cap: $608.0B

[Mkt 23-Oct-26]

## Attractiveness Score




Confidence: **High** (0 pillars excluded)

## Pillar Breakdown

**1. Operating Quality** — 88

Absolute EUV monopoly with 57.5% gross margins and a net-cash balance sheet. Cyclical equipment exposure prevents a top-decile score.

**2. Recent Trend** — 90

Record Q3: revenue up 55% YoY, margins expanding, guidance raised for the third time this year. Textbook acceleration.

**3. Forward Growth** — 82

High-NA ramp, 75% memory growth guide, and AI capex visibility through 2030. Drivers are disclosed and measurable.

**4. Valuation** — 32

Priced for perfection: 28x EV/EBITDA, 26x forward P/E, above 5-year multiple history. Reverse DCF implies 24.9% CAGR, above our bull case.

**5. Catalysts & Risk** — 55

Q4 print and High-NA shipments are near-term positives; China export controls and multiple compression are live risks. Balanced skew.

## Investment Thesis

- **Unassailable Monopoly:** ASML holds 100% share in EUV lithography with no commercial alternative for sub-7nm patterning. Gross margin of 57.5% [10-Q Q3 FY26] reflects pricing power no peer can match.

- **AI Capex Supercycle:** Foundry customers are raising equipment forecasts and discussing 2029-2030 orders now. Memory system sales guided up 75% [8-K guid] on HBM demand.
- **Price Demands Perfection:** At $1,572.61 [Mkt 23-Oct-26], the market prices in 25.2% revenue CAGR, above our 18.5% bull case. Our $1,214.93 base target implies 23% downside. Exceptional business, demanding price.

## Key Operating Metrics

| Metric | Latest | YoY Change | 3Y Trend |
|---|---|---|---|
| Revenue (Q3) | €11.66B [10-Q Q3 FY26] | +55.0% [10-Q Q3 FY26] | Up |
| Gross Margin | 57.5% [10-Q Q3 FY26] | +3.5 pts [10-Q Q3 FY26] | Up |
| Net Income | €4.96B [10-Q Q3 FY26] | +133% [10-Q Q3 FY26] | Up |
| Installed Base Mgmt | €3.29B [10-Q Q3 FY26] | +19% QoQ [10-Q Q3 FY26] | Up |
| Cash & Investments | €12.7B [10-Q Q3 FY26] | +68% QoQ [10-Q Q3 FY26] | Up |
| New Systems Sold | 113 [10-Q Q3 FY26] | +27 QoQ [10-Q Q3 FY26] | Up |
| FCF Margin (LTM) | 28.5% [10-K FY25] | n/a | Up |
| Net Cash | €8.93B [20-F FY25 (DCF bridge basis)] | Cash €13.32B incl. current AFS securities, less €4.39B debt [20-F FY25] | Up |

## Historical Financial Trend

| Metric | FY22 | FY23 | FY24 | FY25E | LTM |
|---|---|---|---|---|---|
| Revenue | €21.2B [10-K FY22] | €27.6B [10-K FY23] | €28.3B [10-K FY24] | €32.5B [Cons] | €40.1B [Cons] |
| Gross Margin | 50.5% [10-K FY22] | 51.3% [10-K FY23] | 51.9% [10-K FY24] | 53.0% [Cons] | 56.2% [10-Q Q3 FY26] |
| Net Income | €5.6B [10-K FY22] | €7.8B [10-K FY23] | €7.6B [10-K FY24] | €9.2B [Cons] | €14.1B [Cons] |

## Valuation

### Absolute (3/10)

P/E (fwd) 26.2x [Mkt 16-Oct-26]
EV/EBITDA 28x [Mkt 16-Oct-26]
FCF Yield ~4.4% [Mkt 16-Oct-26]

Multiples assume flawless execution; cash yield alone does not compensate.

### Versus Peers (3/8)

AMAT 20x P/E [Peers 16-Oct-26]
LRCX 22x P/E [Peers 16-Oct-26]
KLAC 24x P/E [Peers 16-Oct-26]

ASML commands a ~25% premium to equipment peers. Monopoly justifies part of it, not all.

### Versus History (2/7)

Current 28x EV/EBITDA [Mkt 16-Oct-26]
5-Yr Avg ~20x [Mkt 16-Oct-26]

Trading in the top quartile of its own history, pricing in a sustained upcycle.

## Catalyst Timeline

**Jan 2027** [Cons]
Q4 FY26 Earnings (Two-Sided): Test of €14.2-15.2B guide and High-NA shipment pace.

**2027-2028** [10-Q Q3 FY26]
High-NA Volume Ramp (Positive): 0.55 NA systems moving to volume production at TSMC/ Intel.

**Ongoing** [10-K FY25]
China Export Policy (Two-Sided): Further DUV

## Top Risk Factors (Item 1A)

**1. China Export Controls:** Tightening restrictions on DUV lithography exports threaten approximately 20% of revenue tied to Chinese fabs. [10-K FY25]

**2. Semiconductor Cyclicality:** WFE spending is inherently cyclical; a downturn in memory or logic capex would hit bookings with a 12-18 month lead time. [10-K FY25]

> restrictions would remove ~20% revenue exposure.

## What Would Change Our Score

A pullback toward our $1,214.93 base case would flip Valuation from a drag to neutral and likely lift the composite into the mid-70s. Conversely, any High-NA delay or China revenue loss would cut Forward Growth and Catalysts simultaneously.

**3. Customer Concentration:** A handful of foundries (TSMC, Samsung, Intel) drive the majority of system sales, concentrating demand risk. [10-K FY25]

## Forward Growth Drivers

- High-NA EUV ASP uplift (€350-400M per system vs ~€200M standard EUV) [8-K guid]
- Memory capex: 75% growth guided for 2026 on HBM/AI demand [8-K guid]
- Installed Base Management compounding at ~50% growth [8-K guid]

## Missing / Modified Data Log

- ROIC not explicitly disclosed in filings; excluded from Pillar 1 (used ROE proxy qualitatively).
- 5-year EV/EBITDA history estimated from market data, not filings; tagged [Mkt 16-Oct-26].

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